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TECH

Amazon Posts Bigger-Than-Expected Increase in Profit

Shares surge after hours as the online retailer's results top consensus forecasts

By Laura Stevens

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Amazon has long plowed most of its profits back into product development, warehouse expansion and delivery infrastructure, though in recent periods it has shown some spending discipline. [REUTERS](#)

Amazon.com Inc. posted a 41% rise in first-quarter profit, even as the company is spending heavily on everything from international expansion to video content.

Earnings rose to \$724 million, or \$1.48 a share, from \$513 million, or \$1.07 a share, a year earlier. Analysts surveyed by Thomson Reuters expected earnings, excluding one-time items, of \$1.12 a share.

Sales of \$35.71 billion, up from \$29.13 billion, were within Amazon's own forecast of

\$33.25 billion to \$35.75 billion and above analysts' expectations of \$35.3 billion.

Amazon's shares rose 4.1% in after-hours trading after finishing up 1% at \$918.38 on Thursday. The stock has risen about 22% year-to-date through the close.

The Seattle-based online retailer has long plowed most of its profits back into product development, warehouse expansion and delivery infrastructure. In recent periods Amazon had shown some spending discipline, but the company has entered a new phase of heightened investment by expanding overseas, bolstering its shipping operations and broadening its video content.

Analysts expect the phase to last at least through mid-2018, in part due to Amazon's promise to hire 130,000 U.S. workers during that time frame.

A big piece of that spending is coming in international markets like Mexico and India, where the company is building out its Prime offerings and competing against heavily entrenched incumbents. Flipkart, Amazon's main competitor in India, just drew another big round of funding totaling \$1.4 billion, including from U.S. rival eBay Inc. Last week, Amazon said it would be expanding its retail footprint to Australia.

The international business has been stuck in the red in recent quarters. That remained the case in the first quarter, as the division reported an operating loss of \$481 million. Sales increased to \$11.06 billion, from \$9.57 billion a year ago.

The retail giant has also started laying the groundwork for its own shipping business to add capacity for itself, with the grander ambition of one-day hauling and delivering packages for itself, other retailers and consumers. In the first quarter, Amazon said it is building its first air hub in Kentucky and is also planning to add airfreight capacity for Chinese customers. The company is leasing 40 planes and has more than 4,000 dedicated truck trailer hitches as it aims to move more of its goods itself. And it has rolled out delivery in as little as an hour to more than 40 cities.

But that fast shipping likely contributed to the company's shipping costs rising 34% in

the first quarter to \$4.38 billion.

Amazon's device business has been a bright spot for the company, with Chief Executive Jeff Bezos writing in his annual shareholder letter that it has been difficult to keep its artificial intelligence-powered Echo speakers in stock.

The company on Wednesday said it was introducing the Echo Look, a new version of the device that includes a camera and offers fashion critiques.

And analysts have said that high margin streams of revenue like those from its advertising, subscription and credit card businesses are expected to continue to grow and help offset higher spending.

Amazon offered guidance of operating income between \$425 million and \$1.08 billion on revenue of between \$35.25 billion and \$37.75 billion for the second quarter. Analysts polled by Thomson Reuters were looking for \$36.87 billion in revenue.

The online retailer's bottom line in the first quarter was boosted by its Amazon Web Services cloud computing division, which increased sales by 43% to \$3.66 billion. The unit, which rents computing power to a variety of startups, government agencies and other corporations, has become a major factor in Amazon's recent streak of profitability.

Still, the division is facing tougher competition from both Microsoft Corp. and Alphabet Inc.'s Google, prompting some concerns about whether the growth can continue on pace—especially amid price wars.

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Laura Stevens is a former reporter for The Wall Street Journal in San Francisco, where she covered e-commerce. Previously, she covered freight and transportation in Atlanta and German banking and other news out of the Journal's bureau in Frankfurt....

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